Type MS · Expense and income accounts with accruals and prepayments

Answer 1 of 11 · Question 18 part a · 5 marks

2024 JUN · Paper 01 · extract 1 of 2 · find part a in this mark scheme extract

Number		
18(a)	**Award marks for correct dates, details and amounts in combination.** **Wages Account** **Date** | **Details** | **$** \| **Date** \| **Details** \| **$** 2023 May 1 | Balance b/d | 920 **(1)** | 2023 May 1 | Balance b/d | 1 580 **(1)** 2024 Apr 30 | Cash book /Bank | 87 900 **(1)** | 2024 Apr 30 | Income statement | 91 470 **(1of)** | Balance c/d | 4 230 | | | | | 93 050 | | | 93 050 | | | 2024 May 1 | Balance b/d | 4 230 **(1)**	**(5)**

Question Number	Answer	Mark
18(b)	**Award marks for correct dates, details and amounts in combination.** **Rent Receivable Account** **Date** | **Details** | **$** \| **Date** \| **Details** \| **$** 2024 Apr 30 | Income statement | 7 300 **(1of)** | 2023 May 1 | Balance b/d | 800 **(1)** | Balance c/d | 1 300 | 2024 Apr 30 | Cash book /Bank | 7 800 **(1)** | | 8 600 | | | 8 600 | | | 2024 May 1 | Balance b/d | 1 300 **(1)**	**(4)**

Type MS · Expense and income accounts with accruals and prepayments

Answer 1 of 11 · Question 18 part a · 5 marks

2024 JUN · Paper 01 · extract 2 of 2 · find part a in this mark scheme extract

Question Number	Answer	Mark
18(c)	**Award marks for correct details and amounts in combination.** **Motor Vehicles - Provision for Depreciation Account**	**(4)**

Date	Details	$	Date	Details	$
2023 Sep 30	Disposal	11 200 **(1)**	2023 May 1	Balance b/d	85 000 **(1)**
2024 Apr 30	Balance c/d	101 000	2024 Apr30	Income statement	27 200 **(1)**
		112 200			112 200
			May 1	Balance b/d	101 000 **(1)**

Question Number	Answer	Mark
18(d)	**Award one mark for identification of the concept and one mark for explanation.** **Sample answer** In accordance with the accruals concept **(1)** depreciation matches the cost of the non-current asset with its use over a period. **(1)** **OR** In accordance with the prudence concept **(1)** to avoid overstating the value of non-current assets / profit for the year **(1)** **Accept any other appropriate responses.**	**(2)**

TOTAL FOR QUESTION 18 = 15 MARKS

Type MS · Expense and income accounts with accruals and prepayments

Answer 2 of 11 · Question 18 part b · 2 marks

2019 JUN · Paper 01 (regional R) · extract 1 of 2 · find part b in this mark scheme extract

18(a)(i)	**Award marks as indicated** Expenses which have been incurred **(1)** but unpaid at the financial year end **(1)** **Accept any other appropriate responses**	**(2)**

Question number	Answer	Mark
18(a)(ii)	**Award marks as indicated** Expenses that have been paid **(1)** in advance of the accounting period **(1)** **Accept any other appropriate responses**	**(2)**

Question number	Answer	Mark
18(b)	**Award marks as indicated** $360 **(2)** **(W)** **W** ($960 / 8 or $120 **(1)** x 3 = $360 **(1)**	**(2)**

Question number	Answer	Mark

18(c) **Award mark as indicated**

Transaction	Revenue Expenditure	Capital Expenditure
Factory roof repairs	✓(1)	
Factory extension		✓(1)
Machinery installation		✓(1)
Machinery maintenance	✓(1)	

(4)

Question number	Answer	Mark
18(d)	**Award up to 2 marks for identification, 2 marks for development and 1 mark for conclusion.** **Sample answers** It is important to distinguish between revenue expenditure and capital expenditure because: The incorrect treatment of revenue expenditure would result in the profit for the year being either overstated or understated **(1)** as revenue expenditure is written off against profit in the year in the year incurred **(1).** The incorrect treatment of capital expenditure would result in the non-current assets being either overstated or understated **(1)** as capital expenditure items last longer than one year and appear in the statement of financial position **(1).** By treating capital expenditure and revenue expenditure incorrectly, this would result in the financial statements not providing a true and fair view of the business **(1).**	**(5)**

TOTAL FOR QUESTION 18 = 15 MARKS

Type MS · Expense and income accounts with accruals and prepayments

Answer 3 of 11 · Question 12 part whole · 5 marks

2021 JUN · Paper 01 · find part whole in this mark scheme extract

12	**Award marks for figures as indicated.** **Award 1 mark for all correct dates and details** **Rent Account**	**(5)**

Date	Details	$	Date	Details	$
Mar 31	Bank / Cash book	3 750.00 **(1)**	Apr 1	Balance b/d	500.00 **(1)**
			Mar 31	Income statement	3 000.00 **(1of)**
				Balance c/d	250.00
		3 750.00			3 750.00
Apr 1	Balance b/d	250.00 **(1of)**			

TOTAL FOR QUESTION 12 = 5 MARKS

Type MS · Expense and income accounts with accruals and prepayments

Answer 4 of 11 · Question 17 part a · 5 marks

2021 NOV · Paper 01 · extract 1 of 2 · find part a in this mark scheme extract

17 (a)

Award marks as indicated for correct amounts. Award 1 mark for all correct dates and labels.

Rent Payable Account

Date	Details	$	Date	Details	$
2019 Nov 1	Bank	1 200	2019 Oct 1	Balance b/d	300 **(1)**
2020 Jan 1	Bank **(1 for all)**	1 800	2020 Sep 30	Income statement	3 600 **(1of)**
Jul 1	Bank	1 800		Balance c/d	900
		4 800			4 800
Oct 1	Balance b/d	900 **(1of)**			

(5)

Question number	Answer	Mark
17(b) (i)	**Award marks as indicated.** Current liabilities/Other payables. **(1)** One month's rent was owing at 30 September 2019. **(1)** **Accept any other appropriate responses.**	**(2)**

Question number	Answer	Mark
17(b) (ii)	**Award marks as indicated.** Current assets/Other receivables. **(1)** Three months' rent was paid in advance at 30 September 2020. **(1)** **Accept any other appropriate responses.**	**(2)**

Type MS · Expense and income accounts with accruals and prepayments

Answer 4 of 11 · Question 17 part a · 5 marks

2021 NOV · Paper 01 · extract 2 of 2 · find part a in this mark scheme extract

<table>
<tr><th>Question number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>17(c)</td><td>Award one mark for each correct accounting concept up to a maximum of 3 marks and one mark for each correct description up to a maximum of 3 marks
<table>
<tr><th>Accounting concepts</th><th>Description</th></tr>
<tr><td>Accruals (1)</td><td>Costs and revenues are matched to the same accounting period. (1)</td></tr>
<tr><td>Business entity (1)</td><td>The expenditure incurred by the business is separate to that of the business owner. (1)</td></tr>
<tr><td>Consistency (1)</td><td>A business should continue to use the same accounting procedures every year. (1)</td></tr>
<tr><td>Materiality (1)</td><td>Items of very low value are not recorded separately. (1)</td></tr>
<tr><td>Money measurement (1)</td><td>A business only records transaction that have a monetary value. (1)</td></tr>
<tr><td>Prudence (1)</td><td>A business should not overstate its profits or the value of its assets. (1)</td></tr>
</table>
Accept any other appropriate responses</td><td>(6)</td></tr>
</table>

TOTAL FOR QUESTION 17 = 15 MARKS

Type MS · Expense and income accounts with accruals and prepayments

Answer 5 of 11 · Question 17 part b.i · 5 marks

2023 JUN · Paper 01 · extract 1 of 2 · find part b.i in this mark scheme extract

Number		
17(a)(i)	**Award marks for correct dates, details and amounts in combination.** **Stationery Account** **Date** / **Details** / **$** / **Date** / **Details** / **$** 1 May / Balance b/d / 250 **(1)** / 17 May / Cash book /Bank / 15 **(1)** 10 May / Cash book /Bank / 80 **(1)** / 29 Aug / Journal/ Drawings / 25 **(1)** 30 April / Income statement / 100 **(2/1of)** Balance c/d / 190 330 / 330 1 May / Balance b/d / 190 **(1)**	**(7)**

Question Number	Answer	Mark
17(a)(ii)	**Award 1 mark for the correct concept** To comply with the business entity concept **(1)**	**(1)**

Type MS · Expense and income accounts with accruals and prepayments

Answer 5 of 11 · Question 17 part b.i · 5 marks

2023 JUN · Paper 01 · extract 2 of 2 · find part b.i in this mark scheme extract

Question Number	Answer	Mark
17(b)(i)	**Award marks for correct dates, details and amounts in combination.**	**(5)**

Insurance Account

Date	Details	$	Date	Details	$
1 May	Balance b/d	360 **(1)**	30 April	Income statement	2 010 **(2/1of)**
1 July	Cash book /Bank	1 980 **(1)**		Balance c/d	330
		2 340			2 340
1 May	Balance b/d	330 **(1)**			

Question Number	Answer	Mark
17(b)(ii)	**Award 1 mark for the correct concept and 1 mark for explanation** **Sample answer** **Accounting concept:** Accruals **(1)** **Explanation:** Only expenditure incurred during the year should be matched with the income for that year. **(1)** **Accept any other appropriate responses.**	**(2)**

TOTAL FOR QUESTION 17 = 15 MARKS

Type MS · Expense and income accounts with accruals and prepayments

Answer 6 of 11 · Question 17 part a.i · 7 marks

2023 JUN · Paper 01 · extract 1 of 2 · find part a.i in this mark scheme extract

Number		
17(a)(i)	**Award marks for correct dates, details and amounts in combination.** **Stationery Account** **Date** / **Details** / **$** / **Date** / **Details** / **$** 1 May / Balance b/d / 250 **(1)** / 17 May / Cash book /Bank / 15 **(1)** 10 May / Cash book /Bank / 80 **(1)** / 29 Aug / Journal/ Drawings / 25 **(1)** 30 April / Income statement / 100 **(2/1of)** Balance c/d / 190 330 / 330 1 May / Balance b/d / 190 **(1)**	**(7)**

Question Number	Answer	Mark
17(a)(ii)	**Award 1 mark for the correct concept** To comply with the business entity concept **(1)**	**(1)**

Type MS · Expense and income accounts with accruals and prepayments

Answer 6 of 11 · Question 17 part a.i · 7 marks

2023 JUN · Paper 01 · extract 2 of 2 · find part a.i in this mark scheme extract

Question Number	Answer	Mark
17(b)(i)	**Award marks for correct dates, details and amounts in combination.**	**(5)**

Insurance Account

Date	Details	$	Date	Details	$
1 May	Balance b/d	360 **(1)**	30 April	Income statement	2 010 **(2/1of)**
1 July	Cash book /Bank	1 980 **(1)**		Balance c/d	330
		2 340			2 340
1 May	Balance b/d	330 **(1)**			

Question Number	Answer	Mark
17(b)(ii)	**Award 1 mark for the correct concept and 1 mark for explanation** **Sample answer** **Accounting concept:** Accruals **(1)** **Explanation:** Only expenditure incurred during the year should be matched with the income for that year. **(1)** **Accept any other appropriate responses.**	**(2)**

TOTAL FOR QUESTION 17 = 15 MARKS

Type MS · Expense and income accounts with accruals and prepayments

Answer 7 of 11 · Question 16 part a · 7 marks

2025 NOV · Paper 01 · extract 1 of 2 · find part a in this mark scheme extract

16(a)

Award marks for figures as indicated.
Award one mark for all correct dates and details.

Stationery Account

Date	Details	$	Date	Details	$
2024 Jul 1	Balance b/d	420 **(1)**	2025 Jun 30	Drawings	65 **(1)**
2025 Jun 30	Cash book / Bank	1 070 **(1)**		Income statement	1 230 **(1)**
				Balance c/d	325
	Balance c/d	130			
		1 620			1 620
Jul 1	Balance b/d	325 **(1)**	Jul 1	Balance b/d	130 **(1)**

(7)

Question Number	Answer	Mark

16(b)

Award marks for figures as indicated.
Award one mark for all correct dates and details.

Rent Receivable Account

Date	Details	$	Date	Details	$
2025 Jun 30	Income statement	6 080 **(1)**	2024 Jul 1	Balance b/d	600 **(1)**
			2025 Jun 30	Cash book / bank	5 200 **(1)**
				Balance c/d	280
		6 080			6 080
Jul 1	Balance b/d	280 **(1)**			

(5)

Type MS · Expense and income accounts with accruals and prepayments

Answer 7 of 11 · Question 16 part a · 7 marks

2025 NOV · Paper 01 · extract 2 of 2 · find part a in this mark scheme extract

Question Number	Answer	Mark
16(c)	**Award marks as indicated** • Firewalls **(1)** • Anti-virus software **(1)** • Secure passwords **(1)**	**(3)**

TOTAL FOR QUESTION 16 = 15 MARKS

18(a)	**Award 1 mark for each advantage up to maximum of 2 marks.** Easy to set up **(1).** Keeps all profit **(1).** Retains full control **(1).** Quick decision making **(1).**	**(2)**

Question number	Answer	Mark
18(b)	**Award 1 mark for each advantage up to maximum of 2 marks.** Suppliers **(1).** Providers of external finance **(1).** Customers **(1).** Owners **(1).** Competitors **(1).** Employees **(1).** Government **(1).** Investors **(1).**	**(2)**

Question number	Answer	Mark
18(c)(i)	**Award 1 mark for correct amount.** **Award 1 mark for all correct dates and details.**	**(7)**

Rental Income Account

Date	Details	$	Date	Details	$	
1 April 2018	Balance b/d	200 **(1)**	1 April 2018	Cash book (Bank)	800	**(1) for all**
31 March 2019	Income statement	2 850 **(2/1of)**	1 July 2018	Cash book (Bank)	1 500	
31 March 2019	Balance c/d	750 **(1)**	1 January 2019	Cash book (Bank)	1 500	
		3 800			3 800	
			1 April 2019	Balance b/d	750 **(1 of)**	

Type MS · Expense and income accounts with accruals and prepayments

Answer 8 of 11 · Question 18 part c.i · 7 marks

2019 JUN · Paper 01 · extract 2 of 2 · find part c.i in this mark scheme extract

<table>
<tr><th>Question number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>18(c) (ii)</td><td>Award marks as indicated.

<table>
<tr><th></th><th colspan="2">Balance at 1 April</th></tr>
<tr><th></th><th>2018</th><th>2019</th></tr>
<tr><td>Other payables</td><td></td><td>✓</td></tr>
<tr><td>Other receivables</td><td>✓</td><td></td></tr>
<tr><td>Current assets</td><td>✓</td><td></td></tr>
<tr><td>Current liabilities</td><td></td><td>✓</td></tr>
</table>
</td><td>(4)</td></tr>
</table>

TOTAL FOR QUESTION 18 = 15 MARKS

Type MS · Expense and income accounts with accruals and prepayments

Answer 9 of 11 · Question 9 part whole · 1 mark

2023 JUN · Paper 01 · find part whole in this mark scheme extract

9	**D $2 700**	**(1)**

Type MS · Expense and income accounts with accruals and prepayments

Answer 10 of 11 · Question 18 part b · 4 marks

2024 JUN · Paper 01 · extract 1 of 2 · find part b in this mark scheme extract

Number		
18(a)	**Award marks for correct dates, details and amounts in combination.** **Wages Account** **Date** | **Details** | **$** \| **Date** \| **Details** \| **$** 2023 May 1 | Balance b/d | 920 **(1)** | 2023 May 1 | Balance b/d | 1 580 **(1)** 2024 Apr 30 | Cash book /Bank | 87 900 **(1)** | 2024 Apr 30 | Income statement | 91 470 **(1of)** | Balance c/d | 4 230 | | | | | 93 050 | | | 93 050 | | | 2024 May 1 | Balance b/d | 4 230 **(1)**	**(5)**

Question Number	Answer	Mark
18(b)	**Award marks for correct dates, details and amounts in combination.** **Rent Receivable Account** **Date** | **Details** | **$** \| **Date** \| **Details** \| **$** 2024 Apr 30 | Income statement | 7 300 **(1of)** | 2023 May 1 | Balance b/d | 800 **(1)** | Balance c/d | 1 300 | 2024 Apr 30 | Cash book /Bank | 7 800 **(1)** | | 8 600 | | | 8 600 | | | 2024 May 1 | Balance b/d | 1 300 **(1)**	**(4)**

Type MS · Expense and income accounts with accruals and prepayments

Answer 10 of 11 · Question 18 part b · 4 marks

2024 JUN · Paper 01 · extract 2 of 2 · find part b in this mark scheme extract

Question Number	Answer	Mark
18(c)	**Award marks for correct details and amounts in combination.** **Motor Vehicles - Provision for Depreciation Account**	**(4)**

Date	Details	$	Date	Details	$
2023 Sep 30	Disposal	11 200 **(1)**	2023 May 1	Balance b/d	85 000 **(1)**
2024 Apr 30	Balance c/d	101 000	2024 Apr30	Income statement	27 200 **(1)**
		112 200			112 200
			May 1	Balance b/d	101 000 **(1)**

Question Number	Answer	Mark
18(d)	**Award one mark for identification of the concept and one mark for explanation.** **Sample answer** In accordance with the accruals concept **(1)** depreciation matches the cost of the non-current asset with its use over a period. **(1)** **OR** In accordance with the prudence concept **(1)** to avoid overstating the value of non-current assets / profit for the year **(1)** **Accept any other appropriate responses.**	**(2)**

TOTAL FOR QUESTION 18 = 15 MARKS

Type MS · Expense and income accounts with accruals and prepayments

Answer 11 of 11 · Question 16 part b · 5 marks

2025 NOV · Paper 01 · extract 1 of 2 · find part b in this mark scheme extract

16(a)

Award marks for figures as indicated.
Award one mark for all correct dates and details.

Stationery Account

Date	Details	$	Date	Details	$
2024 Jul 1	Balance b/d	420 **(1)**	2025 Jun 30	Drawings	65 **(1)**
2025 Jun 30	Cash book / Bank	1 070 **(1)**		Income statement	1 230 **(1)**
				Balance c/d	325
	Balance c/d	130			
		1 620			1 620
Jul 1	Balance b/d	325 **(1)**	Jul 1	Balance b/d	130 **(1)**

(7)

Question Number	Answer	Mark

16(b)

Award marks for figures as indicated.
Award one mark for all correct dates and details.

Rent Receivable Account

Date	Details	$	Date	Details	$
2025 Jun 30	Income statement	6 080 **(1)**	2024 Jul 1	Balance b/d	600 **(1)**
			2025 Jun 30	Cash book / bank	5 200 **(1)**
				Balance c/d	280
		6 080			6 080
Jul 1	Balance b/d	280 **(1)**			

(5)

Type MS · Expense and income accounts with accruals and prepayments

Answer 11 of 11 · Question 16 part b · 5 marks

2025 NOV · Paper 01 · extract 2 of 2 · find part b in this mark scheme extract

Question Number	Answer	Mark
16(c)	**Award marks as indicated** • Firewalls **(1)** • Anti-virus software **(1)** • Secure passwords **(1)**	**(3)**

TOTAL FOR QUESTION 16 = 15 MARKS